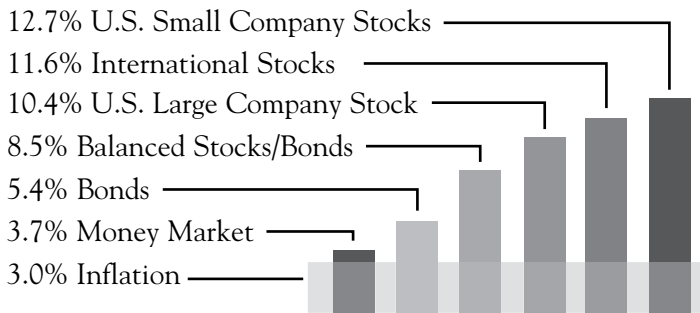


The temptation among many investors is to get in quick, then get out quick, taking profits or cutting losses at a moment's notice. But by focusing only on the short-term, many investors like Nick lose sight of the big picture. Performance over the long-term instead of short-term gains or losses should be the motivation behind investing. The stock market has outperformed all other savings vehicles over every ten-year time frame. In fact, the S&P 500 has increased an average of 12 percent a year over the last eighty years. The chart below shows the average rate of returns for various investments over an eighty-year time period from 1926-2006:



Nick's tendency to switch stocks every time they slid in performance ended up costing him dearly. If he had held on instead of saying, "Let me get out while I can," Nick would have profited when the value of the funds went through the roof.

Successful mutual fund and stock investing has one necessary ingredient that seems to be lacking in many people's psyche, patience. An oft-quoted saying that bears repeating is, "It is time in the market, not timing the market that will most likely produce the greatest profits in investing in the stock market."

Anyone that has started a business can tell you that the greatest chance of failure occurs within the first five years. Yet how many investors expect their investments to profit within that time frame? The average mutual fund investor only sticks

